# Federal acronym decoder

The words you'll hear in federal sales, in plain English.

**ATO** Authority to Operate
An agency's formal approval to use a specific IT system. Needed in addition to FedRAMP for cloud software.

**Award**
The government's formal decision to give a contract to a company.

**Best value**
An evaluation in which the government can pay more for a better technical solution, rather than simply choosing the cheapest.

**CAGE code**
A five-character ID for your company, assigned automatically when you register in SAM.gov.

**Capability statement**
A one-page summary of what your company does, its codes and its past work. The federal business card.

**Capture**
Everything you do to position for a specific opportunity before the bid is released.

**Champion**
A person inside the government who wants your solution to succeed and will push for it internally.

**CLIN** Contract line item number
Each priced item in a contract. Your pricing has to fit into these.

**CMMC** Cybersecurity Maturity Model Certification
DoD's cybersecurity certification for contractors that handle defense information. It is being phased into contracts.

**Color of money**
The type of appropriation, such as O&M (one year), RDT&E (two years) or Procurement (three years). It decides what the money can buy and when it expires.

**Competitive range**
The shortlist of proposals the government decides to hold discussions with.

**Compliance matrix**
A table that maps every instruction and evaluation factor in a solicitation to where your proposal answers it.

**Continuing resolution** CR
A stopgap law that funds the government at last year's levels when Congress hasn't passed the full-year budget. It generally bars new programs.

**Contract vehicle**
An existing, already-competed contract that agencies use to buy from approved companies, such as a GSA schedule, SEWP or a BPA. No vehicle means no easy purchase.

**Contracting officer** CO / KO
The only government official who can legally sign, change or end a contract.

**COR** Contracting officer's representative
The person who oversees your work day to day. They can't change the contract.

**CPARS**
The government's system for rating contractor performance. Future evaluators read it.

**DCAA** Defense Contract Audit Agency
The DoD agency that audits contractor costs and accounting systems, especially on cost-reimbursable contracts.

**DD254** Contract Security Classification Specification
The form attached to a classified contract that sets its security requirements: clearance level, safeguarding and what cleared staff can access. Primes issue DD254s to cleared subcontractors.

**Debrief**
A meeting after an award where the government explains how your proposal was scored. Always ask for one.

**Discussions**
Back-and-forth negotiation between the government and shortlisted bidders before final revisions.

**FCL** Facility clearance
A determination that a company can access classified information. It must be sponsored by a government customer or a cleared contractor, and is processed by DCSA.

**FedRAMP**
The government-wide security authorization program for cloud services. Usually required before an agency can use your cloud product.

**Fiscal year** FY
The federal budget year, which runs from October 1 to September 30. FY27 started on October 1, 2026.

**FOCI** Foreign ownership, control or influence
Foreign investors, owners or board members who could affect a cleared company. FOCI must be mitigated before a facility clearance can be granted.

**Go/No-Go**
The internal gate where a team decides, on evidence, whether to spend money on a proposal. Stage 3 of the SFV9 Bid Path.

**GSA schedule** Multiple Award Schedule (MAS)
GSA's main contract vehicle, which almost any agency can order from.

**IDIQ / BPA**
Contracts with flexible quantity and timing. The government places individual orders (task orders) against them.

**Incumbent**
The company currently doing the work. Customers rarely switch without a clear reason.

**ITAR / EAR**
U.S. export control rules for defense articles (ITAR) and dual-use technology (EAR). They limit who can work on a program, including foreign national staff.

**J-books** Justification books
Detailed budget documents published with the President's Budget, explaining what each program is funded to do.

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**LPTA** Lowest price technically acceptable
An evaluation in which the cheapest proposal that meets the minimum requirements wins.

**Micro-purchase threshold** $15,000
Below this amount, purchases can generally be made with a government purchase card and minimal competition.

**Modification**
A formal change to a contract, signed by the contracting officer.

**NAICS**
Industry codes that classify what your business does. They also determine whether you count as a small business.

**NDAA** National Defense Authorization Act
The annual law that sets defense policy and authorizes programs, usually signed in December. It often creates new authorities and pilot programs.

**Option year**
An additional year the government can choose to add to a contract. It isn't guaranteed.

**OTA** Other Transaction Authority
A flexible agreement, outside the normal procurement rules, often used for prototypes.

**Past performance**
Your track record on similar work, and a scored part of most evaluations.

**POM** Program Objective Memorandum
DoD's internal plan that sets budgets about two years ahead. If your program isn't in it, it isn't in the budget.

**Prime**
The company that holds the contract directly with the government.

**Program manager**
The government official responsible for a program and its budget.

**Protest**
A formal challenge to an award by a losing bidder, often filed with GAO.

**Recompete**
A new competition for the work when the existing contract ends.

**Report language**
Direction written into congressional committee reports. It isn't law, but agencies follow it, and it can steer attention and money.

**RFI** Request for Information
Market research. It doesn't lead directly to a contract, but your answers shape the eventual bid.

**RFP / RFQ** Request for Proposal / Quote
The formal solicitation. RFQs are usually simpler and focused on price.

**Rule of Two**
If the contracting officer expects at least two capable small businesses to bid at a fair price, the work is generally set aside for small business.

**SAM.gov**
The government's registration and opportunity system. You must be registered to be paid.

**Section L / M**
In an RFP, Section L says how to write your proposal and Section M says how it will be scored.

**Set-aside**
Work reserved for small businesses or for a category such as 8(a), HUBZone, women-owned or service-disabled veteran-owned businesses.

**Section 889**
A law that bars the government from buying, or contracting with companies that use, certain Chinese telecommunications and video surveillance equipment.

**SEWP**
A NASA-run contract vehicle used across government to buy IT products.

**Simplified acquisition threshold** $350,000
Below this amount, simpler and faster buying procedures apply.

**Sources sought**
A notice asking which companies could do the work. Often used to decide whether to set the work aside.

**Subcontractor**
A company that works under the prime contractor, not directly for the government.

**TAA** Trade Agreements Act
Requires products on many contracts to come from the U.S. or designated countries.

**Task order**
An individual order placed against an IDIQ or similar vehicle.

**Teaming agreement**
A contract between companies bidding together that sets out roles and workshare.

**VAR** Value-added reseller
A partner that resells your product, often through a contract vehicle it holds. A signed VAR or channel agreement is what lets a buyer actually order.

**UEI** Unique Entity ID
Your company's government ID, assigned in SAM.gov.